3. 9:00 AM CASE NUMBER: C25-01093
CASE NAME: SHILOH PARKER VS. CHANNING HAWKINS
HEARING ON DEMURRER TO: FIRST AMENDED COMPLAINT
FILED BY: SAADA, JENDAYI
TENTATIVE RULING:*

See LINE 1 above.

4. 9:00 AM CASE NUMBER: C25-01093
CASE NAME: SHILOH PARKER VS. CHANNING HAWKINS
***HEARING ON MOTION IN RE: PLAINTIFF'S FIRST AMENDED MOTION FOR LEAVE TO AMEND COMPLAINT**
FILED BY: PARKER, SHILOH A.
TENTATIVE RULING:*

See LINE 1 above.

5. 9:00 AM CASE NUMBER: C25-01145
CASE NAME: COMMUNITY FUND 2, LLC, VS. VIKTORIYA VOLZHENINA
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF PLAINTIFF'S 1ST AMENDED COMPLAINT**
FILED BY: VOLZHENINA, VIKTORIYA
TENTATIVE RULING:*

Denied as moot as Defendant's demurrer is SUSTAINED in full. See Line 6 below.

6. 9:00 AM CASE NUMBER: C25-01145
CASE NAME: COMMUNITY FUND 2, LLC, VS. VIKTORIYA VOLZHENINA
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: VOLZHENINA, VIKTORIYA
TENTATIVE RULING:*

Background and Factual Allegations

Plaintiff owns real property located at 1532 Chanslor Avenue, Unit V, in Richmond, California ("Property"). (¶ 7.) The Property is subject to the CC&Rs of Defendant HOA. (¶ 8.) Defendant Volzhenina is the President of the Defendant HOA, as well as the owner of real property located at 1532 Chanslor Avenue, Unit N. (¶¶ 6, 9.) This unit is directly below Plaintiff's Property. (¶ 9.)

The Complaint alleges that while Plaintiff was attempting to sell the Property, Defendants made representations to third parties possibly interested in purchasing the Property that it had "squeaky floors" even though there was no obligation to disclose such information. (¶¶ 11-13.) Based on these allegations, Plaintiff asserts three causes of action: (1) breach of the recorded CC&Rs; (2) breach of fiduciary duty; and (3) intentional interference with contractual relations.

Standard for Demurrer

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc*. (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("*Doe*")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id*. at 1098–99; *Doe*, supra, 42 Cal.4th at 551, fn. 5.)

A complaint must be "liberally construed" and a demurrer "overruled if any cause of action is stated by the plaintiff." (*Amacorp Industrial Leasing Co. v. Robert C. Young Associates, Inc.* (1965) 237 Cal.App.2d 724, 727.) The Court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.) A demurrer lies only for defects appearing on the face of the complaint or from matters of which the court must or may take judicial notice. (Code Civ. Proc. § 430.40; *see Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

Analysis

As noted above, the FAC alleges three causes of action. Defendant's notice indicates that the demurrer is made on the ground that the FAC "is unable to overcome the Business Judgment Rule insulating Defendant Volzhenia from liability." (Notice at 1:27-2:1.) Defendant does not address the causes of action individually, nor argue that they are not properly plead. Instead, the parties both focus their arguments on the applicability of the business judgment rule. As such, the Court will only address the pleading standards related thereto.

Business Judgment Rule

The business judgment rule has been codified in California at Corporations Code section 309. "But the common law rule 'has two components—one which immunizes directors from personal liability if they act in accordance with its requirements, and another which insulates from court intervention those management decisions which are made by directors in good faith in what the directors believe is the organization's best interest. [Citation.] Only the first component is embodied in Corporations Code section 309.'" (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1045 citations omitted.)

"The broader rule is 'a judicial policy of deference to the business judgment of corporate directors in the exercise of their broad discretion in making corporate decisions.'" (*Ibid.*) "[It] is based on the premise that those to whom the management of a business organization has been entrusted, and not the courts, are best able to judge whether a particular act or transaction is helpful to the conduct of the organization's affairs or expedient for the attainment of its purposes." (*Ibid.*) "The rule establishes a presumption that directors' decisions are based on sound business judgment, and it prohibits courts from interfering in business decisions made by the directors in good faith and in the absence of a conflict of interest." (*Ibid.*) "'A hallmark of the business judgment rule is that a court will not substitute its judgment for that of the board if the latter's decision can be 'attributed to any rational business purpose.'" (*Ibid.* quoting *Katz v. Chevron Corp.* (1994) 22 Cal.App.4th 1352, 1366.)

"An exception to the presumption afforded by the business judgment rule accordingly exists in 'circumstances which inherently raise an inference of conflict of interest' and the rule 'does not shield actions taken without reasonable inquiry, with improper motives, or as a result of a conflict of interest.'" (*Berg & Berg*, supra, 178 Cal.App.4th at 1046 citations omitted.)

"But a plaintiff must allege sufficient facts to establish these exceptions." (*Ibid.*) "To do so, more is needed than 'conclusory allegations of improper motives and conflict of interest. Neither is it sufficient to generally allege the failure to conduct an active investigation, in the absence of (1) allegations of facts which would reasonably call for such an investigation, or (2) allegations of facts which would have been discovered by a reasonable investigation and would have been material to the questioned exercise of business judgment.'" (*Id.* at 1045-46 quoting *Lee v. Interinsurance Exchange* (1996) 50 Cal.App.4th 694, 715.)

"In most cases, 'the presumption created by the business judgment rule can be rebutted only by affirmative allegations of facts which, if proven, would establish fraud, bad faith, overreaching or an unreasonable failure to investigate material facts. [Citation.] Interference with the discretion of directors is not warranted in doubtful cases.'" (*Berg & Berg*, supra, 178 Cal.App.4th at 1046.)

The failure to "sufficiently plead facts to rebut the business judgment rule or establish its exceptions may be raised on demurrer, as whether sufficient facts have been so pleaded is a question of law." (*Berg & Berg*, supra, 178 Cal.App.4th 1046 citations omitted.)

Regarding Defendant Volzhenia, the FAC alleges that she was the President of the HOA and acted as an "officer or agent of the HOA." (¶6) After Plaintiff entered into a sale contract for its Unit, the HOA and Volzhenia were notified of the sale and "transfer disclosure documents were requested from the HOA pursuant to section 4525 et. seq. of the California Civil Code." (¶ 11.) "In response to the request for transfer disclosure documents, ***the HOA provided a statement*** that included a representation that the Premises had 'squeaky' floors and that they must be fixed before transfer of ownership." (¶ 12 emphasis added.) "In addition, ***the HOA stated*** that an inspection was required to confirm the issue had been remediated." (*Ibid.* emphasis added.) The FAC then alleges that the "HOA and Volzhenia made these representations despite no obligation to do so." (¶ 13.)

In essence, the FAC alleges that the HOA was requested to provide a disclosure as required under the Civil Code. The response from the HOA included a representation that the Property had 'squeaky' floors that were required to be fixed before transfer of ownership would be approved. There are no allegations that this statement was false or incorrect.

These allegations fall squarely within the business judgment rule as outlined above. The HOA board was tasked with providing a required disclosure regarding the condition of the Property before ownership could be transferred. They provided a statement that included a representation about a known issue with the Property. The decision to include that information in the response is presumed to be done based on the "sound business judgment" of the directors of the HOA. As such, to avoid the bar of the business judgment rule, the FAC must include factual allegations that "would establish fraud, bad faith, overreaching or an unreasonable failure to investigate material facts." (*Berg & Berg*, supra, 178 Cal.App.4th at 1046.)

There are no such allegations in the FAC. To begin with, there are no allegations that contend that the floors were not 'squeaky,' or that the statements made by the HOA were false. Instead, the allegation is that HOA was not obligated to disclose this information. (¶ 13.) This allegation appears to acknowledge that the floors were 'squeaky,' but Plaintiff believes that the HOA should not have told the prospective buyer this fact. Additionally, there are no allegations that the HOA did not investigate the issue.

Plaintiff argues in its opposition that there was no business purpose for the disclosure, the decision to disclose was “not an honest, unbiased judgment after the exercise of reasonable diligence,” and there was “no legitimate business decision” made here. (Opp. at 3:23-4:6.) The FAC, however, provides no facts to support these claims. The law imparts a presumption that the HOA’s actions are in fact reasonably and done for a legitimate purpose. Plaintiff’s duty is to allege *facts* which support a finding that “if proven, would establish fraud, bad faith, overreaching or an unreasonable failure to investigate material facts.” (*Berg & Berg*, supra, 178 Cal.App.4th at 1046.) The FAC fails to provide any such facts.

Ms. Volzhenia’s Liability Independent of her Position in the HOA

Plaintiff also argues that Ms. Volzhernia is “not named as a defendant solely in her capacity as a board member,” but also individually. As such, the business judgment rule does not apply to Ms. Volzhernia in her individual capacity.

The FAC, however, fails to allege any actions by Ms. Volzhernia in her individual capacity to support any of Plaintiff’s claims. As outlined above, the basis of the claim is the statement made by **the HOA** in response to the request for transfer disclosure documents. (¶¶ 11-13.) While Ms. Volzhernia is alleged to be a member of the board of the HOA, she did not individually make any disclosure. Instead, the response to the request for transfer disclosure documents was made by the HOA – not by Ms. Volzhernia personally.

While Plaintiff argues that Ms. Volzhernia had a conflict of interest, the disclosure was not made by Ms. Volzhernia solely or personally. The entire board issued the disclosure according to the FAC. There are no allegations that the entire board, or at least a majority thereof, had a conflict of interest in this transaction.

Leave to Amend

“Our Supreme Court has observed that where ‘plaintiff has not had an opportunity to amend the complaint in response to the demurrer, leave to amend is liberally allowed as a matter of fairness, unless the complaint shows on its face that it is incapable of amendment.’” (*Eghtesad v. State Farm General Ins. Co.* (2020) 51 Cal.App.5th 406, 412 quoting *City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747.)

As this is the first time the Court has addressed these issues, Plaintiff is granted leave to amend.

Conclusion

Defendant Volzhernia’s demurrer to the FAC is **SUSTAINED**. Leave to amend is **GRANTED**. Plaintiff shall file any amended complaint within 10 calendar days of entry of the order on this Demurrer.

7. 9:00 AM CASE NUMBER: C25-01478
CASE NAME: EMAD ISKANDER VS. JOAN OCAMPO (EMPLOYEE)
***HEARING ON MOTION IN RE: MOTION FOR ORDER VACATING AND SETTING ASIDE DEFAULT JUDGMENT**
FILED BY:
TENTATIVE RULING:

Before the Court is a motion to vacate default judgment (“Motion”) filed by plaintiff Emad “Ed” Iskander (“Plaintiff”) which seeks relief from this Court’s earlier sustaining of a demurrer to his original complaint without leave to amend.